

3.1 Unit 1 ECON1 Economics: Markets and Market Failure

This Unit introduces candidates to **microeconomics**.

Candidates will be required to acquire knowledge and understanding of some basic microeconomic models and to apply these to current problems and issues. Basic microeconomic models such as demand and supply, the operation of the price mechanism, and causes of market failure are central to this Module. Candidates should be provided with opportunities to use these basic models to explore current economic behaviour. Candidates should be able to apply their knowledge and skills to a wide variety of situations and to different markets and examples of market failure, including environmental market failures. During their course of study, candidates should be encouraged to develop a critical approach to economic models and methods of enquiry.

Candidates should be familiar with the various types of statistical and other data which are commonly used by economists. For example, they should be able to interpret data presented in the form of index numbers.